

The Number Your POS Doesn't Show You

How to Calculate Effective Hourly Revenue — And Why Catering Changes Everything

TL;DR — READ THIS EVEN IF YOU SKIP THE REST

- › EHR = Total Revenue ÷ Total Scheduled Labor Hours. Industry target: \$45/hr.
- › Private events and catering run \$90–\$130/hr — 2–3x your dining room average.
- › Calculate yours in 30 minutes. Three steps at the bottom of page 2.

THE PROBLEM WITH LABOR COST %

Your POS shows you labor cost as a percentage of revenue. So does every benchmark report you've ever read. The problem: it only tells you what you spent. It can't tell you which hours were worth it.

A 30% labor cost on a slow Tuesday lunch looks identical to a 30% labor cost on a Saturday private event. Same number. Completely different business. **Effective Hourly Revenue (EHR) is the metric that sees the difference.**

WHAT IS EFFECTIVE HOURLY REVENUE?

One question, one calculation: *how many dollars of revenue did my restaurant generate for every hour of labor I scheduled?*

THE FORMULA

$$\text{EHR} = \text{Total Revenue} \div \text{Total Scheduled Labor Hours}$$

Use **scheduled hours**, not clock-out hours. When you wrote the schedule, you committed to paying those hours. That's the real decision.

WHAT TO DO WITH YOUR NUMBER

Once you know EHR by service type, three things become obvious:

Protect your highest-EHR hours. Private events and catering deserve your best prep, your most reliable staff, and your personal attention. These are your most productive hours. Treat them that way.

Audit your lowest-EHR periods honestly. If Tuesday lunch runs \$28/hr and requires three staff, ask yourself: is that service period building momentum toward dinner, or quietly losing money?

Set a floor. Decide the minimum EHR below which you'll reduce staffing. A reasonable starting point for DFW full-service independents: **\$40–\$45/hr**. Anything below that is worth a hard look.

HOW TO CALCULATE YOURS IN 30 MINUTES

You already have everything you need. Your POS and your scheduling tool do the work. Run this for your last full month, broken down by service type.

1**Pull revenue by service type from your POS.**

Export total revenue broken down by lunch, dinner, and any private events or catering. Use date/time filters if your POS doesn't separate these automatically.

2**Pull scheduled labor hours for the same period.**

From your scheduling tool: total hours scheduled per service type. If you can't filter by type, count shifts per service period × average shift length.

3**Divide. List your results from highest to lowest.**

Revenue ÷ Scheduled Hours = EHR for each service type. The gap between your top and bottom is your insight. Most operators find catering sits 60–100% above their lowest service period.

SEE IT IN ACTION: THE SAME-WEEK COMPARISON

Here's what this looks like when you run the math on two real service periods from the same week in a Dallas independent.

TUESDAY DINNER SERVICE

Revenue

\$3,150

Scheduled hours

60 hrs (12 staff × 5 hrs)

Effective Hourly Revenue

\$52.50 / hr**WEDNESDAY PRIVATE EVENT**

Revenue

\$4,275

Scheduled hours

40 hrs (8 staff × 5 hrs)

Effective Hourly Revenue

\$106.88 / hr**THE POINT**

75 covers on Tuesday. 45 guests on Wednesday. The private event generated more than double the revenue per labor hour — with fewer people in the room.

WHY CATERING AND PRIVATE EVENTS WIN ON EHR

Four structural reasons — and they compound:

- Fixed headcount.** You know exactly who's coming. No walk-in surge, no over-staffing for a slow night. You schedule precisely for the confirmed count.
- Pre-set menus.** The kitchen runs one ticket pattern all night. No modifications, no substitutions, no chaos. Efficiency goes up because the work is predictable.
- Higher per-person spend.** Private events typically run 40–70% above your average dining room check. Guests expect a premium. The revenue ceiling is set by contract.
- Committed revenue before service starts.** A deposit — typically 25–50% — is collected at booking. You're not hoping the table orders a second round. The revenue is already in.

BENCHMARKS: WHERE YOUR NUMBER SHOULD LAND

Industry data from Toast and the National Restaurant Association puts the average revenue per labor hour for full-service independent restaurants at approximately **\$45/hr**. Strong performers run \$55–65/hr on regular service. Private events are a different category entirely.

Service Type	Typical Range	Strong Performance	Your Number
Regular dining — lunch	\$32 – \$46 / hr	\$50+	_____
Regular dining — dinner	\$45 – \$65 / hr	\$68+	_____
Happy hour / bar	\$25 – \$40 / hr	\$48+	_____
Private event (< 40 guests)	\$75 – \$100 / hr	\$110+	_____
Private dining (40–80 guests)	\$95 – \$130 / hr	\$140+	_____
Off-site catering	\$100 – \$150 / hr	\$160+	_____

Benchmarks derived from Toast Restaurant Business Report, NRA 2024 State of the Restaurant Industry, and Tripleseat private events data.
DFW market may vary ±10–15% based on price point and concept.

THE CATERING QUESTION

If your numbers confirm what most DFW operators find — that catering or private dining is your highest-EHR activity — one question follows: *are you capturing every catering lead that comes in?*

Because this is what we see all the time: restaurants with strong catering economics losing 20–40% of their inquiry volume before they ever send a first response. The lead comes in through a form, a call, an Instagram DM. Nobody follows up in the first few hours. The person books somewhere else.

That's not a food problem. It's not a pricing problem. **It's a systems problem.**

WHY PINCH HIT DIGITAL EXISTS

"I tried to book a private event at one of Dallas's best restaurants for my own wedding. The follow-up was chaotic. I tracked down the GM on LinkedIn. A great restaurant delivering a poor booking experience — that's the problem we solve."

NEXT STEPS

Run the EHR calculation for your last 30 days. You'll have your numbers in under an hour. If catering comes out on top — and it almost always does — the follow-on question is whether you have a system built to capture every lead at that level.

Guide 02 in this series covers Prime Cost — the single metric that tells you whether your restaurant is financially healthy. **Guide 03** walks through The Catering Lead Gap: how to calculate what missed inquiries are costing you in annual revenue.

Want us to run the numbers with you?

We offer a free 20-minute revenue audit for DFW restaurant operators. We calculate your EHR by service type, estimate your inquiry capture rate, and show you what a lead recovery system could add to your top line. No pitch until we've shown you the math. Book at pinchhitdigital.com/audit — or email jeremy@pinchhitdigital.com.

Pinch Hit Digital helps DFW independent restaurant operators build systems to capture and convert catering leads. pinchhitdigital.com